COGS: full cost of delivery

A hybrid per-deal model: tokens/tasks establish demand, measured throughput determines GPU-hours, and capacity decisions translate required resources into dollars.

Complete post-training cost inventory

COST LINE	DOLLAR DRIVER	WHAT IT COVERS
Policy training GPUs	Trainer GPU-hours × rate	Updates, retries, cluster time
RL rollout inference	Rollout GPU-hours × rate	Samples, context, decoding
Evaluation & judges	Benchmark GPU-hours × rate + judge API	Held-out evals, external graders
Agent environment	CPU/container hours + tool API calls	Sandbox execution & orchestration
Direct project labor	Role hours × fully loaded internal rate	Research, FDE, infra, PM
Storage & checkpoints	GB-days × rate + data processing	Weights, datasets, traces, snapshots
Network & direct ops	Egress + telemetry + direct support	Traffic, logs, troubleshooting
Expected rework	Expected failure/rerun probability × cost	Grader changes, restarted runs

What belongs in the margin calculation?

INCLUDED IN DELIVERY COGS

Direct labor, billed infrastructure and other attributable services. Allocate shared reserved capacity consistently.

KEPT OUT OF BOOKED COGS

Unrelated corporate overhead and hypothetical opportunity cost. Show lost alternative contribution in a separate decision view.

Hybrid cost equation

Stage tokens or tasks / measured GPU throughput = GPU-hours. Paid GPU-hours × rate + labor + services + expected rework = planned COGS ($).

Capacity: source by time and fit

Before applying a GPU rate, verify that usable capacity exists for the precise workload, model, topology, region and contract dates.

Capacity decision | five practical alternatives

CAPACITY OPTION	AVAILABILITY / FIT	NEW CASH	MAIN TRADE-OFF
Use already-committed	Must be idle during required window	Minimal new cash if prepaid	Displaces work if GPUs are scarce
Extend reservation	Provider must offer suitable dates	Extension contract or billed period	Tail beyond workload duration
Pay as needed	Availability may be uncertain	Pay only charged runtime	Higher rates / availability risk
New long-term block	Time / cluster shape must match	Pay full noncancelable commitment	Large stranded capacity risk
Customer cloud (BYOC)	Security + customer quota needed	Customer pays cloud GPUs	AC still incurs integration & support

Three capacity economics - do NOT add these together

1 INCREMENTAL

Cash required to accept the deal. Supports bid/no-bid.

2 ALLOCATED

Assigned share of commitments for deal profitability.

3 OPPORTUNITY

Contribution lost to a credible competing workload.

Decision rule

Pick feasible supply minimizing incremental commitment + direct operating costs + expected risk and foregone alternative contribution; report allocated cost separately. Do not count sunk reservation cash twice.

Assumptions, scenarios and controls

A customer quote becomes credible only when demand is linked to a calendar of GPU capacity and a measurable evaluation plan.

Required flexible inputs

INPUT	ASSUMPTIONS TO VALIDATE
Customer + eval	One workflow, baseline, holdout set, grader, required gain and owner
Model + method	Base weights/license, GRPO vs alternatives, GPU topology, sample count
Demand + benchmark	Training tokens; rollout/eval tasks, input/output lengths; throughput per GPU-hour
Capacity ledger	Derived GPU-hours by date; provider, SKU, region, expiry and supplier rate
Team + operations	Role hours, platform costs, network, storage, expected failed runs
Commercial exposure	Competing demand, supplier termination cost, customer stop rule

Illustrative capacity comparison | 8 GPUs × 160 hours needed

CHOICE	INCREMENTAL COMMITMENT	INTERPRETATION
Already-paid spare	New GPU cash ≈ $0	Keep $3,200 alloc. separate; only if truly idle
7-day extension	8 × 168 × $2.50 = $3,360	Extra 8 hours per GPU still paid
PayGo	8 × 160 × $4.00 = $5,120	Avoid commitment; verify GPU availability
30-day reservation	8 × 720 × $2.50 = $14,400	Only sensible with other committed workload

Reservation break-even utilization = reserved rate / comparable PayGo rate = $2.50 / $4.00 = 62.5% (identical usable GPUs and terms assumed).

HYBRID BRIDGE Stage tokens/tasks divided by their measured effective GPU throughput = 1,280 policy + 1,920 rollout + 160 eval = 3,360 GPU-hours.

DOLLAR COGS 3,360h × $3.99 + $77K labor + $11.5K other = $101,906 baseline; +10% rework = $112,097 planned.

All volumes, throughput, weights, $3.99 rate and commitments are illustrative/third-party benchmarks; validate with run traces and live AC contracts.